Herbert Hoover — Fourth Annual Message (1932)

To the Senate and House of Representatives: In accord with my constitutional duty, I transmit herewith to the Congress information upon the state of the Union together with recommendation of measures for its consideration. Our country is at peace. Our national defense has been maintained at a high state of effectiveness. All of the executive departments of the Government have been conducted during the year with a high devotion to public interest. There has been a far larger degree of freedom from industrial conflict than hitherto known. Education and science have made further advances. The public health is to-day at its highest known level. While we have recently engaged in the aggressive contest of a national election, its very tranquillity and the acceptance of its results furnish abundant proof of the strength of our institutions. In the face of widespread hardship our people have demonstrated daily a magnificent sense of humanity, of individual and community responsibility for the welfare of the less fortunate. They have grown in their conceptions and organization for cooperative action for the common welfare. In the provision against distress during this winter, the great private agencies of the country have been mobilized again; the generosity of our people has again come into evidence to a degree in which all America may take great pride. Likewise the local authorities and the States are engaged everywhere in supplemental measures of relief. The provisions made for loans from the Reconstruction Finance Corporation, to States that have exhausted their own resources, guarantee that there should be no hunger or suffering from cold in the country. The large majority of States are showing a sturdy cooperation in the spirit of the Federal aid. The Surgeon General, in charge of the Public Health Service, furnishes me with the following information upon the state of public health: MORTALITY RATE PER 1,000 OF POPULATION ON AN ANNUAL BASIS FROM REPRESENTATIVE STATES - General - Infant First 9 months of- - - 1928 - 11.9 - 67.8 1929 - 12.0 - 65.8 1930 - 11.4 - 62.0 1931 - 11.2 - 60.0 1932 - 10.6 - 55.0 The sickness rates from data available show the same trends. These facts indicate the fine endeavor of the agencies which have been mobilized for care of those in distress. ECONOMIC SITUATION The unparalleled world-wide economic depression has continued through the year. Due to the European collapse, the situation developed during last fall and winter into a series of most acute crises. The unprecedented emergency measures enacted and policies adopted undoubtedly saved the country from economic disaster. After serving to defend the national security, these measures began in July to show their weight and influence toward improvement of conditions in many parts of the country. The following tables of current business indicators show the general economic movement during the past eleven months. MONTHLY BUSINESS INDICES WITH SEASONAL VARIATIONS ELIMINATED Year and Month - Industrial Production - Factory Employment - Freight-car loadings - Department Store sales, value - Exports, value - Imports, value - Building Contracts, all types - Industrial Electric power consumption 1931 - - - - - - - - December - 74 - 69.4 - 69 - 81 - 46 - 48 - 38 - 89.1 1932 - - - - - - - - January - 72 - 68.1 - 64 - 78 - 39 - 42 - 31 - 93.9 February - 69 - 67.8 - 62 - 78 - 45 - 41 - 27 - 98.8 March - 67 - 66.4 - 61 - 72 - 41 - 37 - 26 - 88.0 April - 63 - 64.3 - 59 - 80 - 38 - 36 - 27 - 82.2 May - 60 - 62.1 - 54 - 73 - 37 - 34 - 26 - 82.0 June - 59 - 60.0 - 52 - 71 - 34 - 36 - 27 - 78.1 July - 58 - 58.3 - 51 - 67 - 32 - 27 - 27 - 79.2 August - 60 - 58.8 - 51 - 66 - 31 - 29 - 30 - 73.5 September - 66 - 60.3 - 54 - 70 - 33 - 32 - 30 - 84.0 October - 66 - 61.1 - 57 - 70 - 33 - 32 - 29 - 84.4 The measures and policies which have procured this turn toward recovery should be continued until the depression is passed, and then the emergency agencies should be promptly liquidated. The expansion of credit facilities by the Federal Reserve System and the Reconstruction Finance Corporation has been of incalculable value. The loans of the latter for reproductive works, and to railways for the creation of employment; its support of the credit structure through loans to banks, insurance companies, railways, building and loan associations, and to agriculture has protected the savings and insurance policies of millions of our citizens and has relieved millions of borrowers from duress; they have enabled industry and business to function and expand. The assistance given to

Farm Loan Banks, the establishment of the Home Loan Banks and Agricultural Credit Associations-all in their various ramifications have placed large sums of money at the disposal of the people in protection and aid. Beyond this, the extensive organization of the country in voluntary action has produced profound results. The following table indicates direct expenditures of the Federal Government in aid to unemployment, agriculture, and financial relief over the past four years. The sums applied to financial relief multiply themselves many fold, being in considerable measure the initial capital supplied to the Reconstruction Finance Corporation, Farm Loan Banks, etc., which will be recovered to the Treasury. - Public works (1) - Agricultural relief and financial loans Fiscal year ending June 30 - - 1930 - $410,420,000 - $156,100,000 1931 - 574,870,000 - 196,700,000 1932 - 655,880,000 - 772,700,000 1933 - 717,260,000 - 52,000,000 -